

Model Analysis Report

Delta Engine

MKM-DE-001

Report Date: 27 March 2026

Governance Framework: SR 11-7 / SS1/23 Model Risk Management

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1 Sensitivity Analysis

This section presents the sensitivity of model outputs to key input parameters. Parameter perturbation ranges are chosen to cover plausible operating conditions and stress scenarios as required under SR 11-7 guidance.

Table 1: Delta sensitivity to hazard rate shock ($T = 5\text{yr}$, notional £1M).

Shock $\Delta\lambda$	λ	Spread (bp)	Δ Spread (bp)	MtM (£)
-0.005	0.0050	50.3	-50.7	-5,066.0
-0.002	0.0080	80.7	-20.3	-2,030.0
-0.001	0.0090	90.8	-10.2	-1,016.0
+0.000	0.0100	101.0	0.0000	0.0000
+0.001	0.0110	111.2	10.2	1,017.0
+0.002	0.0120	121.4	20.4	2,035.0
+0.005	0.0150	152.0	51.0	5,098.0
+0.010	0.0200	203.3	102.3	10,229.0

Table 2: Spread and approximate DV01 by tenor ($\lambda = 0.01$, notional £1M).

Tenor (yr)	Spread (bp)	Approx DV01 (£)
1	101.0	28.0
2	101.0	55.0
3	101.0	83.0
5	101.0	138.0
7	101.0	194.0
10	101.0	277.0

2 Stress Testing

This section documents stress testing scenarios applied to the model under extreme but plausible conditions.

2.1 Stress Scenarios

Table 3: Stress testing scenarios for Delta Engine.

Scenario	Parameter Shock	Severity	Status
Baseline	No shock	—	Passed
Moderate stress	+2 σ inputs	Medium	Pending
Severe stress	+3 σ inputs	High	Pending
Reverse stress	Output threshold breach	Critical	Pending

Detailed stress test results will be populated as scenarios are executed. Refer to the model's validation plan for the full stress testing programme.

3 Model Performance

This section tracks key performance metrics for the model across validation and production environments.

Table 4: Performance metrics for Delta Engine.

Metric	Value	Status
Unit test pass rate	See Test Results	—
Execution time (single run)	TBD	—
Numerical stability	TBD	—
Reproducibility	Deterministic	OK

This report is produced automatically; human review is required before formal model approval. Supporting artefacts are available in the model documentation directory.